

Freehold vs. Leasehold Estate Terminology

- **Freehold estate:** Refers to ownership and provides homeownership for an undetermined length of time.
- **Leasehold estate:** Refers to tenancy and provides an interest in real estate for a limited time.
- **Fee simple (or fee simple absolute) estate:** An inheritable freehold estate. "Fee simple" refers to a form of ownership, not tenancy, so the owner of a fee simple estate can will the property and/or a successor can inherit the property. A fee simple absolute estate provides the most complete form of ownership and includes the bundle of rights.
- **Fee simple defeasible (or qualified fee) estate:** One that permits the recovery of fee simple ownership if certain conditions aren't met. "Defeasible" means that the grantor (seller) has placed a limitation on the deed.
- **Fee simple determinable estate:** A type of fee simple defeasible estate, and an inheritable freehold estate, where the title remains with the new owner as long as the conditions of ownership are being met. If the buyer commits a specific prohibited act, title to the property may *automatically* be returned to the owner or the owner's successors.
- **Fee on condition (or fee simple subject to a condition subsequent) estate:** Another type of fee simple defeasible estate that is also inheritable and is recognizable when the words "but if" appear in the deed. The estate continues unless a specific event occurs, in which case ownership may revert to the owner or the owner's successors. Such termination and recovery of ownership must be achieved through a court order.
- **Life estate:** An estate that includes ownership, possession, and control for someone's (the life tenant's) lifetime.
- **Life tenant:** Responsible for reasonable property maintenance, property taxes, repairs, etc.
- **Act of waste:** An abuse of a property by a person who holds interest through a life estate.
- **Remainderman:** A life estate with remainder interests refers to a situation in which a remainderman named by the owner when forming the estate receives title to the property upon the death of the life tenant.
- **Remainder interests:** The remainderman's right to fee simple title upon the death of the life tenant.
- **Reversionary interest:** A life estate in which the property title reverts to the owner upon the death of the life tenant.
- **Pur autre vie life estate:** Created by a property owner who grants an estate to someone for the duration of another individual's life.
- **Estate for years:** An estate for a specified period of time; e.g., a one-year lease or a six-month lease.
- **Periodic estate (or estate from period to period):** One that renews itself automatically at the end of each lease period unless one of the parties to the lease terminates it. This type of lease often results when an estate for years ends. If the landlord and tenant agree that the tenant may remain, but no new estate for years is established, an estate from period to period may result. A month-to-month lease is a periodic estate.
- **Estate at will (or tenancy at will):** A tenancy for an unknown period of time. Either party can terminate the lease by giving notice to the other party.
- **Estate at sufferance (or tenancy at sufferance):** A tenancy in which the tenant stays in possession after the lease has expired.
- **Dower:** A form of legal life estate that refers to a wife's interest in the real estate owned by her deceased husband. Dower isn't recognized in all states.
- **Curtesy:** A form of legal life estate that refers to a husband's interest in the real estate owned by his deceased wife. Curtesy isn't recognized in all states.
- **Escheat:** The state's power to claim property when an owner dies without a will and without heirs or creditors.
- **Homestead:** A type of estate that gives the owner special protections in property used as a family home. Not all states recognize the homestead concept.